CSC1016 – Business Systems Analysis

Team 7

Business Systems Analysis: Group Project

Customers Returns and Refunds policy

Marks and Spencers (M&S)

24/02/2026

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1. Introduction

1.1 Group Members

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1.2 Background

Marks and Spencers (M&S) is currently one of the leading retailers in the UK and has over 1,000 outlets worldwide which is due to their significant online clothing and homeware business presence. M&S has invested significantly on their digital experience, as online sales are growing 11.3% in recent years as part of its strategy to reach 50% of all clothing business online exclusively. As of writing, M&S has a 35-day return policy for online purchases with a plethora of options to return such as in-store drop off, through the post and collection through couriers.

1.3 The Real-Life Problem

- M&S have invested plenty into their digital transformation. However, despite this, there are still plenty of flaws in their current returns process as there is still a lot of customer friction through the following means:
- **Inconsistency in refund times:** There are reports of customers not receiving their refunds on time which could be in the range of 3-4 weeks or a month. One customer stated “I returned some trousers in October that I purchased online and still haven’t had my refund!”.
- **Store return confusion:** M&S stores specify that they do not take refunds at any physical outlet and that the goods returned are brought to the UK for processing rather than give the refunds in person on-site, creating plenty of confusion for customers, with M&S Guernsey issuing a customer of this policy which made things more complicated.

- **System Outages:** Technical issues can arise at any moment which in many cases recently has resulted in customers getting the message “We’re experiencing some technical issues meaning that we cannot accept contactless payments or process click and collect orders” which prevents them processing returns entirely.
- **Partial Refunds without explanation:** Customers have received partial refunds without any clarity on why this is the case, with one customer stating “I returned via store got refund within 10 days but part of return still pending, no idea why all was not refunded at same time”
- **Poor complaint handling:** According to consumer platform for advocacy called Resolver, “Marks and Spencer has a poor record of responding effectively to complaints” .

  The consequences of these ongoing issues with M&S’s issues with their customers' returns and refunds policy leads to customer frustration, a negative reputation on social media, loss of customer loyalty and increased costs on customer support for refunds.

1.4 High-Level Goals for Improvement

- **Reduce refund processing** - By reducing the number of days from 35 days to 5-7 days to process the deliveries, it will improve the return times.
- **Improving transparency** - Customers should receive real-time updates for their item upon their return.
- **Standardizing store returns** - Let customers return items bought online to a store and have the return handled right away.
- **Improving communication** - If customers are given proper reasons to why they get partial refunds then they are more likely to return.

2. Process Requirements

2.1 Process Landscape

The M&S Customer Returns and Refunds system is decomposed into six core processes that collectively form the end-to-end workflow. These processes are logically sequential but also include feedback loops in exception scenarios. The table below summarises each process, its purpose, and the key stakeholders involved.

#	Process Name	Purpose	Key Stakeholders
1	**Return Initiation**	Customers submit a return request and select their preferred return channel (in-store, postal, or courier).	Customer, M&S Online Portal, Store Staff / Courier Partner
2	**Return Eligibility Validation**	Automated multi-step validation of the return request against date window, category exclusions, and declared condition.	M&S Returns System, Customer Service
3	**Item Receipt and Inspection**	Physical receipt, barcode matching, and condition inspection of the returned item at the warehouse.	Logistics / Receiving Team, Warehouse Operative, Returns Management System
4	**Refund Processing**	Calculate and issue refund (full, partial, or rejection) to the original payment method or as store credit.	Refund Processing System, Finance Team
5	**Customer Communication and Notification**	Automated and manual notifications to the customer at each key process milestone.	Notification System, M&S Customer Service, Customer
6	**Complaint and Escalation Handling**	Handle formal complaints submitted by the customer, with first-contact resolution or escalation to a specialist team.	Customer, Customer Service Representative, Escalation Team

The six processes are logically sequential, each triggering upon completion of the preceding step:

Process 1: (Return Initiation) is the entry point, triggered by a customer wishing to return an item. The submitted request is then formally validated by

Process 2: (Return Eligibility Validation). Once approved, the physical returned parcel is handled in

Process 3: (Item Receipt and Inspection). The inspection outcome feeds directly into Process 4 (Refund Processing). In parallel with all stages,

Process 5: (Customer Communication and Notification) ensures the customer is kept informed at every milestone. Any formal complaints or disputes that arise are handled by

Process 6: (Complaint and Escalation Handling).

2.2 Natural Language Description for Each Process

Process 1: Return Initiation

This process is the entry point to the returns system. It is triggered when a customer decides to return a purchased item and logs in to the M&S online portal to begin the process.

- **Trigger:** Customer decides to return an item and logs in to the M&S online portal.
- **Main Steps:** The customer logs in to the portal and selects the item(s) to return, specifying the reason for each. The system checks whether the item falls within the 35-day return window and whether it belongs to an eligible category. If eligible, the customer selects a return method: in-store drop-off, postal via Royal Mail, or courier collection. The system generates a return reference number and, for postal and courier channels, issues a shipping label. The customer packages the item, attaches the label, and submits the return via the chosen channel. The system confirms the handover and updates the return tracking record.
- **Key Decisions:** Is the item within the 35-day return window and in an eligible category? Which return channel has the customer selected (in-store, postal, or courier)?

- **Pain Points:** Customers may be unaware of item category exclusions at the point of initiation, leading to wasted effort. In-store return behaviour differs from portal-initiated returns, causing confusion. Shipping labels are only issued for postal and courier channels, which must be clearly communicated.
- **Stakeholders:** Customer, M&S Online Portal (System), M&S Store Staff / Courier Partner.

Process 2: Return Eligibility Validation

Once the return request has been submitted via the portal, this automated process performs a formal multi-step eligibility check before the return is approved and a tracking reference is assigned.

- **Trigger:** Return request received from Process 1.
- **Main Steps:** The Returns System retrieves the original order details and purchase date. It calculates the number of days since purchase to verify the 35-day return window. If the date check passes, it validates the item category against the exclusion list (e.g. perishables, personalised items, underwear). If the category is eligible, it checks whether the declared item condition meets the return policy. Edge cases — where condition is ambiguous — are flagged for manual review by Customer Service. Approved returns are assigned a tracking reference and the customer is notified (via Process 5).
- **Key Decisions:** Is the return within the 35-day window? Is the item category eligible? Does the declared condition meet the return policy, or is manual review required? What is the outcome of manual review?
- **Pain Points:** Automated condition validation is based on the customer's declaration, which may not reflect the actual item state. Edge cases requiring manual review can introduce delays and inconsistencies. Customers receive rejection notifications without always understanding the specific reason.
- **Stakeholders:** M&S Returns System (Automated), M&S Customer Service.

Process 3: Item Receipt and Inspection

This process begins when the returned parcel physically arrives at the M&S warehouse or returns processing centre. It covers receipt scanning, condition inspection, and recording of the outcome for downstream refund processing.

- **Trigger:** Returned parcel arrives at the warehouse.
- **Main Steps:** The Logistics team scans the parcel barcode on arrival and matches it to an open return reference. If no match is found, the parcel is investigated and the case is logged. For matched parcels, a Warehouse Operative unpacks the item and inspects it for damage, wear, and presence of original tags. An exclusive gateway routes the outcome: items in acceptable condition proceed to a components check (all accessories present); items with minor damage or wear are flagged for a partial refund; severely damaged items are flagged for rejection. The inspection outcome — full refund, partial refund, or rejection — is recorded in the Returns Management System, the return record is updated, and a customer notification is triggered via Process 5.
- **Key Decisions:** Does the parcel barcode match an open return reference? Is the item condition acceptable, partially acceptable, or severely damaged? Are all components and accessories present?
- **Pain Points:** No standardised inspection checklist currently exists, leading to inconsistent partial refund decisions across operatives. Customers are not always notified of partial refund outcomes before the reduced amount is processed. Unmatched parcels result in open cases with no guaranteed resolution timeline.
- **Stakeholders:** Logistics / Receiving Team, Warehouse Operative, Returns Management System.

Process 4: Refund Processing

Following inspection, this process manages the financial transaction required to return funds to the customer. It handles full refunds, partial refunds with documented deduction reasons, and rejection write-offs, coordinating between the automated Refund Processing System and the Finance Team.

- **Trigger:** Inspection outcome received from Process 3.
- **Main Steps:** The system retrieves the original order details, purchase price, and payment method. Based on the inspection outcome — full pass,

partial pass, or rejected — it calculates the appropriate refund amount. For partial refunds, the Finance Team reviews and confirms the deduction reason before processing. For rejections, the case is logged as a write-off. The system checks whether the customer's original payment method is still available; if not, the refund is issued as an M&S gift card or store credit. A refund confirmation record is created, the return case is closed, and the customer receives an appropriate notification (full confirmation, partial notice with deduction breakdown, or rejection notice with written justification).

- **Key Decisions:** What is the inspection outcome (full pass / partial pass / rejected)? Is the customer's original payment method still available?
- **Pain Points:** Refund timelines are variable, with some customers waiting 3–4 weeks. There is limited visibility into whether delays originate in the M&S system or with the payment provider. Partial refund notices are sometimes absent or lack sufficient explanation.
- **Stakeholders:** Refund Processing System (Automated), Finance Team, Notification System.

Process 5: Customer Communication and Notification

This process runs in parallel with the entire returns workflow and is responsible for all automated and manual communications sent to the customer at each key milestone. It is triggered by events from Processes 1 through 4.

- **Trigger:** A return process milestone event is triggered (return submitted, eligibility decision, item received, inspection complete, refund issued).
- **Main Steps:** The process identifies the triggering milestone and prepares the appropriate notification content. The Notification System verifies the customer's contact details (email and/or SMS). If contact details are valid, the notification type is assessed: rejection notifications include written justification, partial refund notifications include deduction breakdowns, and refund confirmations include an expected receipt date. The notification is dispatched and logged in the system audit trail. If contact details are invalid, the failed notification is logged and Customer Service attempts manual contact.
- **Key Decisions:** Which process milestone triggered the notification? Are the customer's contact details valid? Does the notification require

additional contextual content (rejection reason, partial deduction breakdown, refund ETA)?

- **Pain Points:** Many customers report receiving no communication after submitting their return, particularly during system outages. Partial refund notifications are often absent or inadequate. There is no consistent SLA governing communication timeliness.
- **Stakeholders:** Process Trigger (Milestone Events from P1–P4), Notification System (Automated), M&S Customer Service.

Process 6: Complaint and Escalation Handling

This process addresses scenarios where a customer is dissatisfied with the outcome of the returns process and submits a formal complaint via the portal, email, phone, or a third-party resolution platform such as Resolver.

- **Trigger:** Customer submits a formal complaint via portal, email, phone, or Resolver.
- **Main Steps:** The customer provides complaint details and their return reference. A Customer Service Representative logs and acknowledges the complaint within 2 business days, retrieves the full return record and communication history, and assesses the complaint against the return policy and documented evidence. If the complaint is resolvable at first contact (e.g. a re-issued refund or clarification of a partial deduction), it is resolved immediately and the outcome is logged. If escalation is required, the case is passed to a Supervisor or Specialist Escalation Team for a full review. The specialist decides whether the complaint is upheld, partially upheld, or dismissed. Upheld complaints result in a corrective action and any additional refund due; dismissed complaints receive a written justification referencing specific policy clauses. All outcomes feed into process improvement reporting.
- **Key Decisions:** Can the complaint be resolved at first contact? Is the complaint upheld, partially upheld, or dismissed following specialist review?
- **Pain Points:** There is currently no formal escalation path visible to the customer. Response times are inconsistent and there is no defined SLA governing escalation timelines. System outages result in a complete halt to processing with no documented fallback.

- **Stakeholders:** Customer, M&S Customer Service Representative, Supervisor / Specialist Escalation Team.

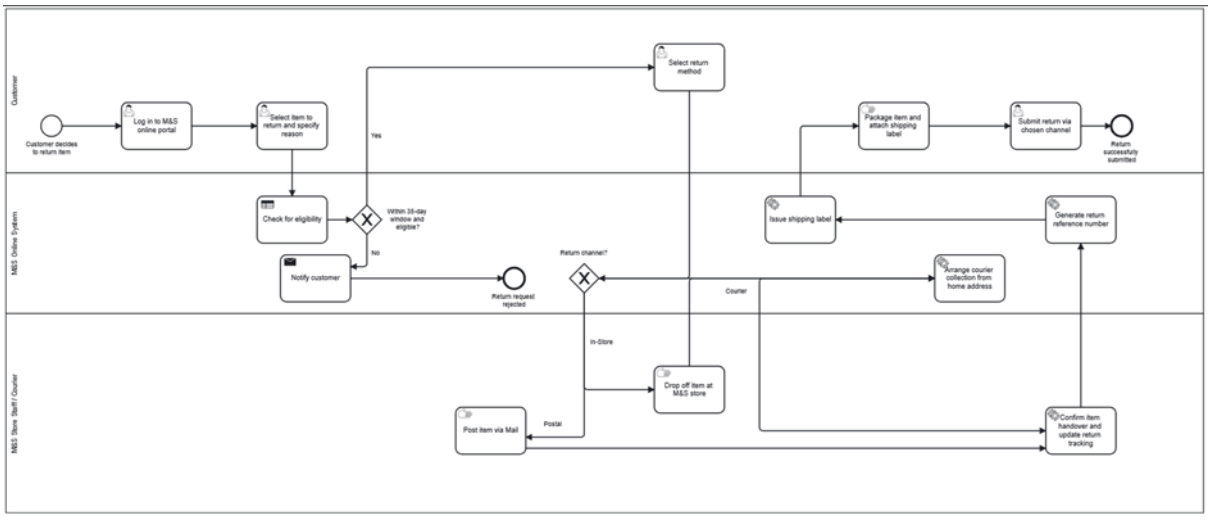
2.3 BPMN Models

The following BPMN diagrams have been created using bpmn.io and represent all six core processes identified in this report. Each diagram includes a clear start trigger, key activities, decision gateways, and defined end outcomes. Diagrams are presented in process order and correspond to the natural language descriptions in Section 2.2.

Process 1: Return Initiation

Figure 1 below shows the BPMN model for Process 1: Return Initiation. The process begins with the customer logging in to the M&S online portal and selecting items to return. An exclusive gateway checks 35-day window and category eligibility, routing ineligible requests to a rejection notification. Valid requests proceed to return method selection, where a channel gateway splits the flow across in-store, postal, and courier paths. The system generates a return reference and issues a shipping label for postal and courier channels. The process ends when the item is submitted via the chosen channel and the return tracking record is updated.

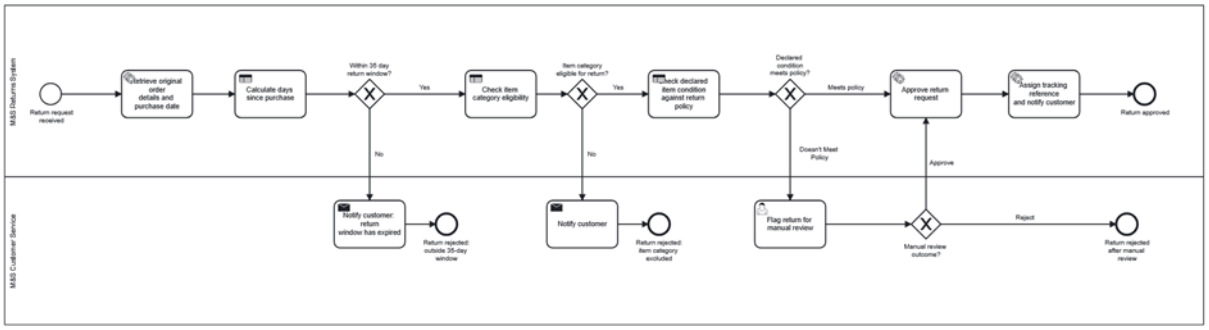
Figure 1: Process 1 — Return Initiation BPMN Diagram



Process 2: Return Eligibility Validation

Figure 2 below illustrates Process 2: Return Eligibility Validation. Triggered by the return request from Process 1, the automated Returns System performs three sequential gateway checks: the 35-day date window, the item category exclusion list, and the declared condition against the return policy. Failing any check routes the request to an appropriate rejection notification. Condition edge cases are flagged for manual review by Customer Service, with a final gateway determining whether the review results in approval or rejection. Approved returns are assigned a tracking reference.

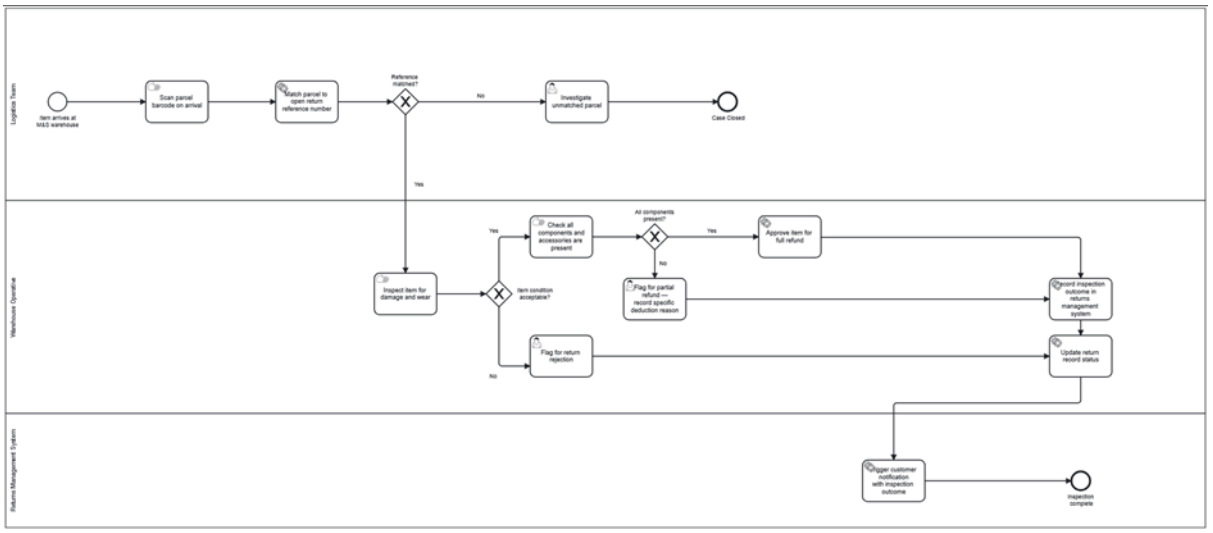
Figure 2: Process 2 — Return Eligibility Validation BPMN Diagram



Process 3: Item Receipt and Inspection

Figure 3 below presents Process 3: Item Receipt and Inspection. The process is triggered when the returned parcel arrives at the warehouse. The Logistics team scans the barcode and attempts to match it to an open return reference; unmatched parcels are investigated and logged as unresolved cases. Matched items undergo condition inspection by a Warehouse Operative, with a three-way exclusive gateway routing outcomes: acceptable items proceed to a components check (all-present routes to full refund approval; missing items flag partial refund), damaged items flag partial refund, and severely damaged items flag rejection. The outcome is recorded in the system and a customer notification is triggered.

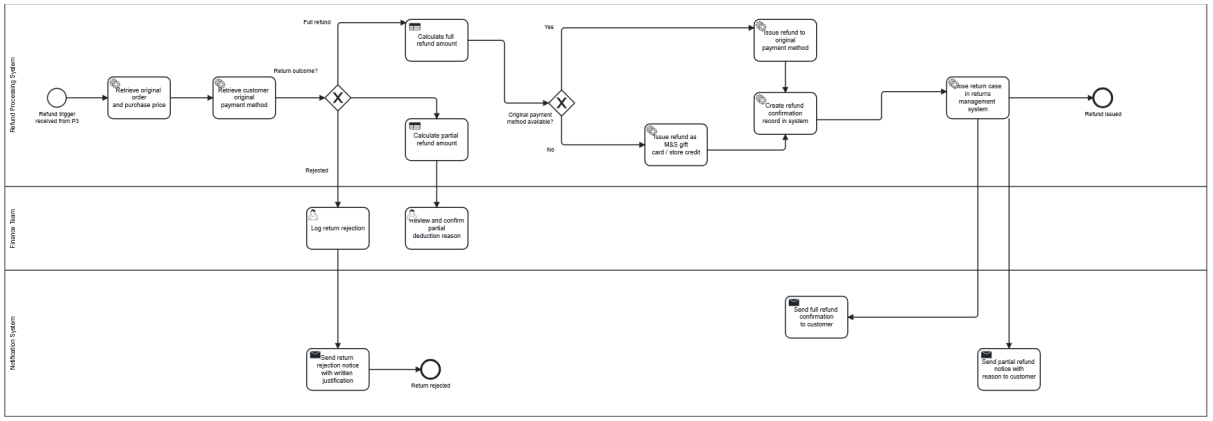
Figure 3: Process 3 — Item Receipt and Inspection BPMN Diagram



Process 4: Refund Processing

Figure 4 below shows Process 4: Refund Processing. Following receipt of the inspection outcome from Process 3, the system retrieves the original order and payment method. A three-way gateway on the inspection outcome routes to full refund calculation, partial refund calculation with Finance Team review, or rejection write-off. A further gateway checks whether the original payment method is still available, routing to the original method or a gift card/store credit fallback. A confirmation record is created, the case is closed, and the customer receives the relevant notification.

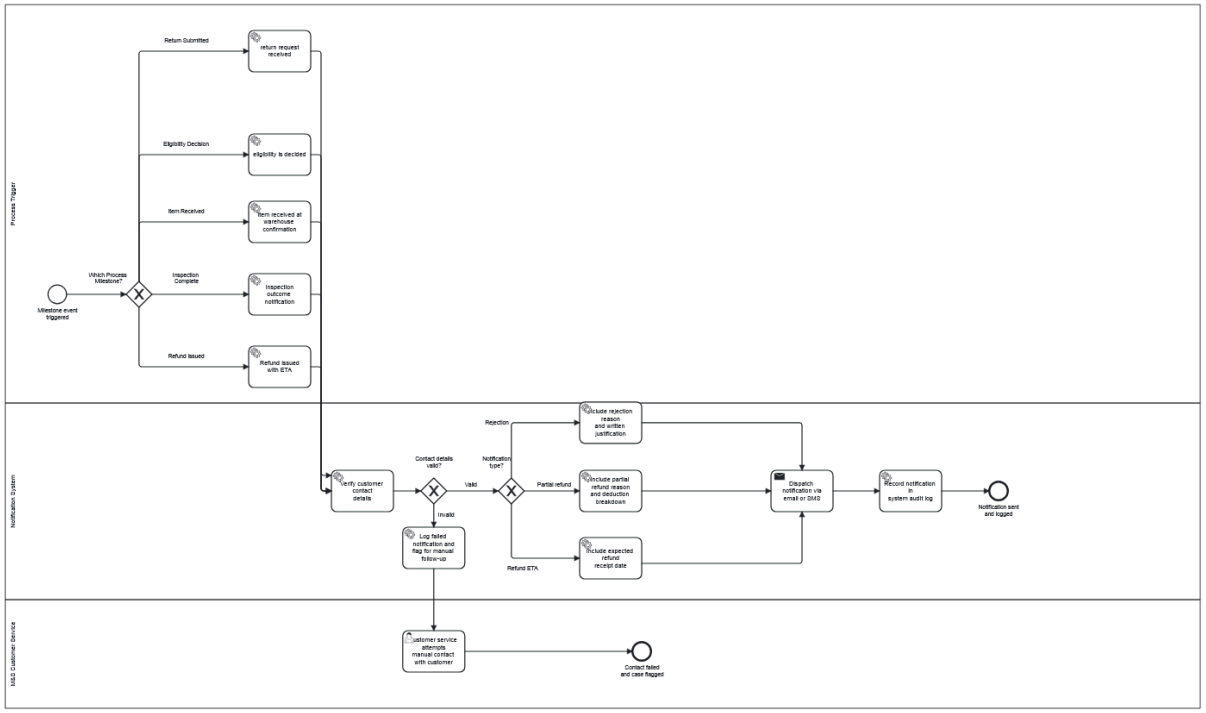
Figure 4: Process 4 — Refund Processing BPMN Diagram



Process 5: Customer Communication and Notification

Figure 5 below illustrates Process 5: Customer Communication and Notification. This process is triggered by milestone events from Processes 1 through 4. A gateway on the milestone type routes to the appropriate notification preparation task (return confirmation, eligibility decision, item received, inspection outcome, or refund issued). The Notification System verifies contact details; invalid details route to a failed notification log and manual Customer Service follow-up. Valid contacts proceed to a content-type gateway that appends rejection reasons, partial deduction breakdowns, or refund ETAs as appropriate, before dispatching and logging the notification.

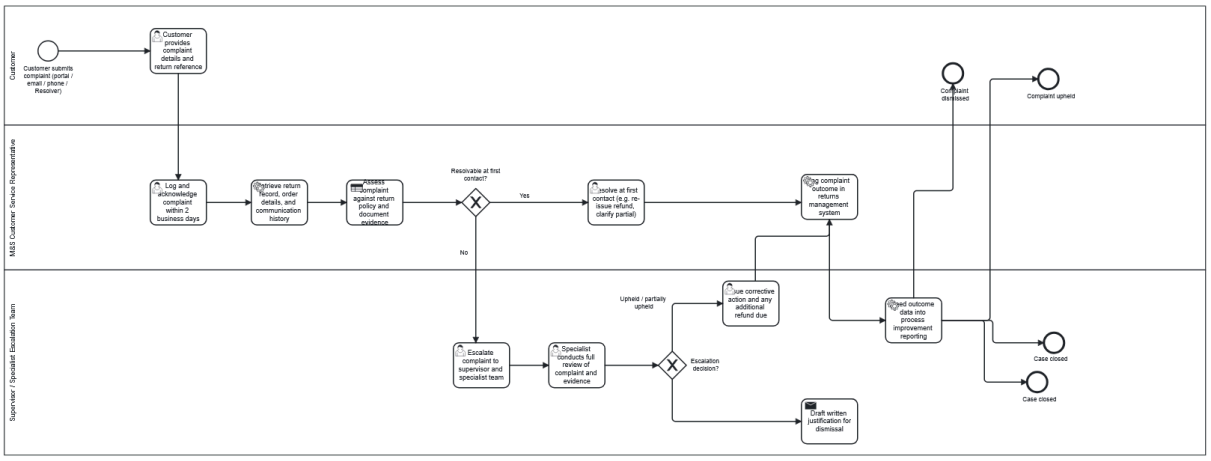
Figure 5: Process 5 — Customer Communication and Notification BPMN Diagram



Process 6: Complaint and Escalation Handling

Figure 6 below presents Process 6: Complaint and Escalation Handling. The process begins when a customer submits a complaint. A Customer Service Representative acknowledges the complaint within 2 business days, retrieves the return record and communication history, and assesses the complaint. A first-contact resolution gateway determines whether the case can be resolved immediately or must be escalated to a Supervisor/Specialist team. Escalated cases undergo a full review, with an escalation decision gateway routing to corrective action (upheld) or written dismissal justification. All outcomes are logged and feed into process improvement reporting.

Figure 6: Process 6 — Complaint and Escalation Handling BPMN Diagram



2.4 Business Rules and Requirements

The following table presents the high-level business rules and constraints that govern the M&S Customer Returns and Refunds process system as a whole. These rules apply across one or more of the five core processes identified above.

Ref	Category	Rule / Requirement
BR-01	Return Window	Customers have a maximum of 35 days from the date of purchase/delivery to initiate a return for online purchases.
BR-02	Item Condition	Returned items must be unworn, unwashed, and accompanied by original tags and packaging to qualify for a full refund.
BR-03	Proof of Purchase	A valid order reference number or receipt is required for all return requests. Returns without proof of purchase may be rejected.
BR-04	Partial Refund	If a returned item is found to be in an unacceptable condition (e.g., minor damage), a partial refund may be issued at the discretion of the warehouse team; the customer must be notified with a written explanation.
BR-05	Refund Timeline	Full refunds must be processed within 10 business days of confirmed item receipt. Delays beyond this threshold require escalation to the customer service manager.
BR-06	Non-Returnable Items	Perishable goods, personalised items, and underwear/swimwear (for hygiene reasons) are excluded from the return policy unless faulty.
BR-07	Complaint Escalation	Any customer complaint that remains unresolved after 5 business days must be escalated to a senior customer service manager for review.
BR-08	System Outage	In the event of a system outage preventing return processing, the customer must be notified within 2 hours and a manual workaround process activated.
BR-09	In-Store vs. Online Returns	Online purchases returned in-store are transported to the UK processing centre before the refund is issued; customers must be informed of this policy at time of return.
BR-10	Postage Charges	Return postage costs are the customer's responsibility unless the item is faulty or incorrect. Any disputed postage charges require manager approval.

Success Criteria

The following criteria will be used to assess whether the process improvement initiative has been successful:

- Average refund processing time reduced to within 10 business days of confirmed return receipt for 95% of standard returns.
- Customer complaint volume related to returns reduced by at least 30% within six months of process implementation.
- Zero instances of unexplained partial refunds: every partial refund decision must be accompanied by a written customer notification before processing.
- System outage fallback procedure activated within 2 hours of any outage event affecting return processing.
- Customer satisfaction score (CSAT) for the returns journey improved by at least 15 percentage points within 12 months.
- All customer complaints acknowledged within 24 hours and resolved or escalated within 5 business days.

3. Discussion: Assumptions, Constraints, and Risks

3.1 Assumptions

The following assumptions were made in the preparation of this report and the associated process models, reflecting information that was either unavailable or required reasonable inference:

- The 35-day return window applies uniformly to all online purchases, regardless of product category, unless otherwise stated in the non-returnable items policy.
- The M&S Shop System and Payment Provider communicate via an automated API integration. This is assumed based on standard e-commerce architecture and M&S's stated investment in digital infrastructure, though the exact integration method is not publicly documented.
- Warehouse staff are equipped with a digital system for logging inspection outcomes. Where this is not currently the case, a manual paper-based form is assumed to be in use, which may contribute to processing delays.
- Customer Service Agents have access to a shared case management system that maintains a full history of customer interactions related to each return case.
- Refund reversal to the original payment method is the default refund mechanism. Alternative refund methods (e.g., store credit, voucher) are assumed to require explicit customer consent.
- M&S Guernsey and other non-UK outlets are subject to the same overall returns policy, though logistics and processing timelines may differ due to their geographic location.

3.2 Constraints

The following constraints have been identified as limiting factors that must be considered in any process improvement effort:

- Operational hours: M&S warehouse and return processing centres are assumed to operate during standard business hours (Monday to Friday, 08:00–18:00 UK time). This limits same-day processing for returns received after close of business.
- Staffing levels: Warehouse inspection teams are a finite resource. During peak retail periods (e.g., post-Christmas, January sales), return volumes may exceed inspection capacity, creating backlogs.

- Technology limitations: The current M&S system has demonstrated vulnerability to outages that disrupt return processing. Any improvement initiative must account for the cost and feasibility of system upgrades or redundancy mechanisms.
- Data privacy compliance: All customer data handled during the returns process is subject to GDPR requirements. Any new tracking, notification, or case management system introduced must be compliant with these regulations.
- Budget constraints: While M&S has invested significantly in digital transformation, specific budget allocations for process improvement within the returns function are unknown and may limit the scope of changes.
- Geographic complexity: Returns from non-UK markets (e.g., Ireland, Guernsey) involve additional logistics steps and potentially different regulatory frameworks, complicating the design of a single unified process.

3.3 Known Issues and Pain Points

The following pain points were identified through customer feedback analysis, consumer advocacy platform data, and publicly available M&S customer communications:

- Inconsistent refund timelines ranging from 10 days to over a month for similar types of returns, indicating a lack of process standardisation.
- Absence of proactive customer communication during the processing period, leaving customers uncertain about the status of their refund.
- Partial refund decisions communicated either after the fact or not at all, generating significant customer frustration and complaint volumes.
- In-store returns for online purchases routed through the UK processing centre without adequate upfront customer notification, leading to confusion at the point of return.
- System outages temporarily suspending all return-related services with no manual fallback process in place.
- Complaint handling processes that are slow, inconsistent in outcome, and lack a visible escalation path for the customer.

3.4 Risks and Challenges

The following risks have been identified as factors that could affect the success of process improvement efforts:

- Resistance to change: Both customer service staff and warehouse teams may resist the introduction of new digital tools or standardised workflows, particularly if the training burden is perceived as high.
- Incomplete information: The full extent of the current process — including the precise steps taken during inspection, the rules governing partial refund calculations, and the criteria for complaint escalation — is not fully documented. This means process improvements will need to be validated against actual operational practice.
- Integration complexity: Connecting a new or improved returns management system with existing M&S platforms (order management, payment provider, customer database) may present significant technical challenges, particularly if legacy systems are involved.
- Exception volume: The volume of exceptions (system outages, disputed returns, partial refunds) may be higher than anticipated, placing an unsustainable burden on the exception handling process if it is not adequately resourced.
- Customer expectation gap: Improving internal process efficiency may not immediately translate into improved customer satisfaction if communication and transparency remain poor. The customer experience must be specifically addressed as part of any improvement initiative.
- Regulatory changes: Consumer protection legislation in the UK and EU is subject to ongoing revision. Any process designed today must be flexible enough to accommodate future regulatory requirements without requiring wholesale redesign.

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